March 24, 2011

Dear Shareholder:

We are pleased to invite you to attend the Annual Meeting of the Shareholders of Canada Bread Company, Limited, to be held at the Albany Club, 91 King Street East, Toronto, Ontario, at 2:30 p.m. on Thursday, May 5, 2011. The items of business you will be asked to act on are set forth in the accompanying Notice of Annual Meeting of Shareholders and Management Information Circular.

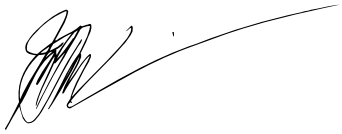
We invite you to read our 2010 Annual Report. The report provides an account of our performance in 2010 and includes the financial statements for 2010 and management's discussion and analysis regarding these statements. In the report, we also review our progress over the year and outline our plans for 2011 and beyond.

We encourage you to ensure that your shares are represented at the Meeting whether or not you are able to attend. Your vote is important. If you do not plan to be present, we would appreciate you taking the time now to sign, date and return the enclosed proxy form in the envelope provided so that your shares can be voted at the Meeting in accordance with your instructions.

Proxies will be counted and tabulated by Computershare Investor Services Inc., the transfer agent of Canada Bread Company, Limited.

We thank you for your continuing support of the Company as a shareholder.

Yours very truly,





MICHAEL H. MCCAIN
Chairman of the Board

RICHARD A. LAN
President & Chief Executive Officer

CANADA BREAD COMPANY, LIMITED

NOTICE OF ANNUAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual Meeting of Shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held at the **Albany Club, 91 King Street East, Toronto, Ontario on Thursday, May 5, 2011 at 2:30 p.m.** (Toronto time) for the following purposes:

(a) to receive the consolidated financial statements for the year ended December 31, 2010, together with the auditors' report thereon;

(b) to elect directors;

(c) to appoint auditors and authorize the directors to fix their remuneration; and

(d) to transact such other business as may properly come before the Meeting or any adjournment thereof.

The accompanying Management Information Circular, dated March 24, 2011, provides additional information concerning the matters to be dealt with at the Meeting.

DATED at Toronto this 24th day of March, 2011.

By Order of the Board.



R. CAPPUCCITTI
Corporate Secretary

CANADA BREAD COMPANY, LIMITED
MANAGEMENT INFORMATION CIRCULAR

VOTING INFORMATION

SOLICITATION OF PROXIES

This Management Information Circular is furnished in connection with the solicitation by management of Canada Bread Company, Limited ("Canada Bread" or the "Corporation") of proxies to be used at the Annual Meeting of Shareholders of the Corporation (the "Meeting"), to be held at the Albany Club, 91 King Street East, Toronto, Ontario on Thursday, May 5, 2011, at 2:30 p.m. (Toronto time) for the purposes set forth in the attached Notice of Meeting. The costs of such solicitation will be borne by the Corporation. It is planned that the solicitation will be primarily by mail, but proxies may also be solicited by telephone, in writing, by email, by fax, by other electronic means or in person by employees of the Corporation or by agents of the Corporation at a nominal and customary cost.

APPOINTMENT AND REVOCATION OF PROXIES

The persons named in the enclosed form of proxy are directors of the Corporation. **A shareholder desiring to appoint some other person or company, who need not be a shareholder of the Corporation, to represent the shareholder at the Meeting may do so either** by inserting such person's name in the blank space provided in the form of proxy or by completing another proper form of proxy and, in either case, delivering the completed proxy to the Secretary of the Corporation, c/o Computershare Investor Services Inc., 100 University Avenue, 9th Floor, Toronto, Ontario M5J 2Y1, for receipt on or before 5:00 p.m. on the second-last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or delivering it to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time of voting. A proxy should be executed by the shareholder or his attorney duly authorized in writing or, if the shareholder is a corporation, by an officer or attorney thereof duly authorized.

In addition to any other manner permitted by law, a proxy may be revoked before it is exercised by depositing an instrument in writing, executed in the same manner as a proxy, with the Secretary of the Corporation at the address shown above at any time up to and including the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or with the Chairman of the Meeting on the day of such Meeting or any adjournment thereof, and upon either of such deposits the proxy is revoked.

VOTING OF PROXIES

A proxy in the form enclosed with the Notice of Meeting confers discretionary authority with respect to amendments or variations to the matters identified in the Notice of Meeting or other matters that may properly come before the Meeting. Management of the Corporation is not aware of any amendments, variations or other matters that are to be presented for action at the Meeting.

Shares represented by proxies properly executed in favour of the persons whose names are printed therein will be voted for or against or withheld from voting in accordance with the choices specified in the executed proxy on any ballot that may be called for, but if no choice is specified, such shares will be voted:

(i) FOR the election as directors of the Corporation of each of the persons listed as nominees under the heading "Election of Directors" below as directors;

(ii) FOR the appointment of KPMG LLP, Chartered Accountants, as auditors of the Corporation and authorizing the directors to fix their remuneration; and

(iii) FOR or AGAINST such actions as the nominee thinks fit with respect to any other matter that may properly come before the Meeting, including any amendments or variations to the matters identified in the Notice of Meeting.

VOTING SECURITIES AND PRINCIPAL HOLDERS THEREOF

As at March 24, 2011, the Corporation had 25,416,812 common shares ("Common Shares") outstanding. Each Common Share carries the right to one vote at the Meeting. To the knowledge of the directors and executive officers of the Corporation, the only person who beneficially owns directly or indirectly or exercises control or direction over ten percent (10%) or more of the votes attaching to the Common Shares is Maple Leaf Foods Inc. ("Maple Leaf Foods", "Maple Leaf" or "MLF"), which holds directly or indirectly 22,875,215 Common Shares representing 90.0003% of the issued and outstanding Common Shares. The registered office of Maple Leaf Foods is Suite 1500, 30 St. Clair Avenue West, Toronto, Ontario M4V 3A2.

The directors have fixed the close of business on March 31, 2011, as the record date for the purposes of determining shareholders entitled to receive notice of and to vote at the Meeting. Accordingly, only persons who are holders of Common Shares of record at the close of business on March 31, 2011, are entitled to vote at the Meeting.

NON-REGISTERED SHAREHOLDERS/BENEFICIAL OWNERS

Most shareholders are "beneficial owners'' who are non-registered shareholders. The Common Shares of the Corporation held by them are registered in the name of an intermediary, such as a securities broker, financial institution, trustee, custodian or other nominee who holds the shares on their behalf, or in the name of a clearing agency in which the intermediary is a participant (such as CDS Clearing and Depository Services Inc.). Intermediaries have obligations to forward meeting materials to the non-registered holders, unless otherwise instructed by the holder (and as required by regulation in some cases, despite such instructions).

Non-registered holders should follow the directions of their intermediaries with respect to the procedures to be followed for voting. Generally, intermediaries will provide non-registered holders with either: (a) a voting instruction form for completion and execution by the non-registered holder, or enabling voting by alternate means such as telephone or Internet, or (b) a proxy form, executed by the intermediary and restricted to the number of shares owned by the non-registered holder, but otherwise uncompleted. These procedures are designed to permit the non-registered holders to direct the voting of the Common Shares of the Corporation which they beneficially own.

These securityholder materials are being sent to both registered and non-registered shareholders of the Corporation. If you are a non-registered shareholder and these materials were sent directly to you by Canada Bread Company, Limited or its agent, your name and address and information about your holdings of securities have been obtained in accordance with applicable securities regulatory requirements from the intermediary holding shares on your behalf.

By choosing to send these materials to you directly, Canada Bread Company, Limited (and not the intermediary holding shares on your behalf) has assumed responsibility for (i) delivering these materials to you, and (ii) executing your proper voting instructions. Please return your voting instructions as specified in the request for voting instructions.

VOTING AT THE MEETING BY BENEFICIAL OWNERS

Only registered shareholders or their duly appointed proxyholders are permitted to vote in person at the Meeting. If a non-registered shareholder wishes to attend and vote in person at the Meeting, they must insert their own name in the space provided for the appointment of a proxyholder on the voting instruction form or proxy form provided by the intermediary and carefully follow the intermediary's instructions for return of the executed form or other method of response.

BUSINESS OF MEETING

ELECTION OF DIRECTORS

The table below sets out the names of the persons proposed for election as directors of the Corporation to serve until the next Annual Meeting of Shareholders of the Corporation or until their successors are duly elected or appointed, unless any such person is not available to act as a director, in which event a substitute may be nominated. **The persons named in the enclosed form of proxy (unless otherwise instructed) intend to vote FOR the election of the nominees whose names are set forth below.**

For each nominee for election as director, the table sets forth as applicable: place of residence; age; present principal occupation and principal occupations held in the last five years, if different; a brief description of his or her principal public company directorships, positions and other relevant information; the date he or she became a director of the Corporation; the number and value of Common Shares beneficially owned[1]; current membership on committees of the board of directors of the Corporation (the "Board"); whether he or she is the Chair of a Committee of the Board; other public company board and committee memberships in the past five years; and whether he or she is independent within the meaning of applicable securities legislation. Information on each nominee's attendance is set out in the table for the respective nominee. For information on director assessment, selection, orientation and education, and other corporate governance topics, please see the discussion under the heading "Report on Corporate Governance'' below.

Name	Principal Occupation and Biography
William E. Aziz Age: 54 Residence: Oakville, Ontario, Canada Director Since 2005 Independent 	OCCUPATION: President and Chief Executive Officer, BlueTree Advisors Inc. *(private management advisory firm)* BIOGRAPHY: Through BlueTree, Mr. Aziz is currently providing his services as Chief Restructuring Officer of Hollinger Inc. during its restructuring. He is a director of OMERS (where he is Vice-Chair of its Investment Committee and sits on its Leadership Resources and Compensation Committee). Mr. Aziz is a graduate of the Richard Ivey School of Business at the University of Western Ontario in Honours Business Administration and is a Chartered Accountant. He has also completed the Institute of Corporate Directors Governance College at the Rotman School of Business, University of Toronto and is a member of the Insolvency Institute of Canada. CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES: None DIRECTORSHIPS WITHIN THE PAST 5 YEARS: Tecumseh Products Company — Tanren Corporation Sun-Times Media Group, Inc. *No interlocking outside public company directorships*[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	17/18 – 94%
Board of Directors	7/7 – 100%
Governance Committee	5/6 – 83%
Audit Committee (Chair)	5/5 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2011	1,430 [1]	$ 66,924 [4]
February 15, 2010	1,430	$ 73,659

Name	Principal Occupation and Biography

Sarah A. Everett
Age: 58
Residence: Toronto, Ontario, Canada
Director Since 1995
Independent



OCCUPATION: Chair of the Executive Committee, Royal Canadian Securities Limited *(privately held holding company)*

BIOGRAPHY: Ms. Everett is a Director and Chair of the Executive Committee of Royal Canadian Securities Limited, based in Winnipeg, Manitoba, which together with its subsidiaries is engaged primarily in retail operations, real estate development and property management. Ms. Everett has previously held positions in the consumer packaged goods industry and was the President and Chairman of Domo Gasoline Corporation Ltd., a privately held chain of retail gasoline outlets. She holds a Bachelor of Arts (Honours) degree from Queen's University and a Master of Arts degree from the University of Toronto.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

None

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

None

No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	18/18 – 100%
Board of Directors	7/7 – 100%
Governance Committee	6/6 – 100%
Audit Committee	5/5 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2011	1,600[1]	$ 74,880[4]
February 15, 2010	1,600	$ 82,416

Name	Principal Occupation and Biography

Richard A. Lan
Age: 56
Residence: Chatham, New Jersey, USA
Director Since 1995
Not Independent



OCCUPATION: President and Chief Executive Officer of the Corporation and Chief Operating Officer, Foods Group, Maple Leaf Foods

BIOGRAPHY: Mr. Lan joined Maple Leaf Foods in 1995 and served in several executive capacities until 2006, when he was appointed its Chief Operating Officer, Foods Group. Mr. Lan received a Bachelor of Science degree in Accounting from the University of Rhode Island. He was President of Dell Products Corp. until that business was sold to McCain Foods in 1988. Mr. Lan then assumed the position of President and CEO of McCain Citrus, where he remained until he joined Maple Leaf Foods. Mr. Lan is a director of the Tim Horton Children's Foundation and McCain Capital Corporation.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

None

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

None

No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	5/7 – 71%
Board of Directors	5/7 – 71%

SECURITIES HELD[2]

Year	Common	Market Value
February 15, 2011	3,500[1]	$ 163,800[4]
February 15, 2010	2,500	$ 128,775

Name	Principal Occupation and Biography

G. Wallace F. McCain, C.C., O.N.B.
Age: 80
Residence: Toronto, Ontario, Canada
Director Since 1995
Not Independent



OCCUPATION: Chairman, Maple Leaf Foods

BIOGRAPHY: Mr. McCain co-founded McCain Foods Limited in 1956, which has grown to become one of the largest frozen food companies in the world. Mr. McCain was President and Co-Chief Executive Officer of McCain Foods Limited until 1995 and is currently its Vice-Chairman and a director and is a director of other associated companies within the McCain Foods Group. Mr. McCain is also a director of St. Michael's Hospital Foundation, Brookfield Asset Management Inc. and McCain Capital Corporation. Mr. McCain is a Companion of the Order of Canada and a member of the Order of New Brunswick.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

Brookfield Asset Management Inc. – Member, Management Resources & Compensation Committee

Maple Leaf Foods Inc.

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

None

No interlocking outside public company directorships [3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	5/7 – 71%
Board of Directors	5/7 – 71%

SECURITIES HELD [2]:

Year	Common	Market Value
February 15, 2011	0 [1]	$ Nil [4]
February 15, 2010	0	$ Nil

Name	Principal Occupation and Biography

J. Scott McCain
Age: 54
Residence: Toronto, Ontario, Canada
Director Since 1995
Not Independent



OCCUPATION: President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods

BIOGRAPHY: Prior to joining Maple Leaf Foods in 1995, Mr. McCain was Vice-President for Production, McCain Foods Limited in Canada. Mr. McCain joined McCain Foods Limited in 1978, where he held progressively senior positions in manufacturing and operations. He is a director of McCain Foods Group Inc. and McCain Capital Corporation. He is a member of the Board of Regents at Mount Allison University.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

Maple Leaf Foods Inc.

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

None.

No interlocking outside public company directorships [3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	5/7 – 71%
Board of Directors	5/7 – 71%

SECURITIES HELD [2]

Year	Common	Market Value
February 15, 2011	0 [1]	$ Nil [4]
February 15, 2010	0	$ Nil

Name	Principal Occupation and Biography

Michael H. McCain
Age: 52
Residence: Toronto, Ontario, Canada
Director Since 1995
Not Independent



OCCUPATION: Chairman of the Corporation and President and Chief Executive Officer, Maple Leaf Foods

BIOGRAPHY: Mr. McCain joined Maple Leaf Foods in April 1995 as President and Chief Operating Officer. Prior to joining Maple Leaf Foods, Mr. McCain spent 16 years with McCain Foods Limited in Canada and the United States and was, at the time of leaving in March 1995, President and Chief Executive Officer of McCain Foods USA Inc. In January 1999, Mr. McCain was appointed Chief Executive Officer of Maple Leaf Foods. He is a director of McCain Foods Group Inc., McCain Capital Corporation, the American Meat Institute, MaRS Discovery District, the CAMH (Centre for Addiction and Mental Health) Foundation and Royal Bank of Canada. Mr. McCain is a past director of the American Frozen Food Institute and Bombardier Inc.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

Royal Bank of Canada – Member, Risk Committee and Member, Corporate Governance and Public Policy Committee

Maple Leaf Foods Inc.

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

Bombardier Inc.

No interlocking outside public company directorship[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	7/7 – 100%
Board of Directors	7/7 – 100%

SECURITIES HELD:[2]

Year	Common	Market Value
February 15, 2011	0 [1]	$ Nil [4]
February 15, 2010	0	$ Nil

Name	Principal Occupation and Biography

John F. Petch, Q.C., B.A., J.D., LL.M.
Age: 72
Residence: Toronto, Ontario, Canada
Director Since 1995
Independent



OCCUPATION: Chair, Board of Governors of the University of Toronto

BIOGRAPHY: Mr. Petch is a senior lawyer specializing in business law. He is currently the lead director of ShawCor Ltd. and director and Vice-Chair of Andrew Peller Limited, both of which are publicly traded companies listed on the Toronto Stock Exchange. Mr. Petch holds B.A., J.D. and LL.M. degrees and has practised extensively in business law, including mergers and acquisitions. He is Chair of the Board of Governors of the University of Toronto and past Vice-Chair of its Business Board. He is also past Chair of St. Michael's Hospital, an affiliated hospital of the University of Toronto.

CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES:

ShawCor Ltd. – Member, Corporate Governance Committee

Andrew Peller Limited – Member, Human Resources and Governance Committee

DIRECTORSHIPS WITHIN THE PAST 5 YEARS:

No interlocking outside public company directorships[3]

BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE:

All Regularly Scheduled Board and Committee Meetings	18/18 – 100%
Board of Directors	7/7 – 100%
Governance Committee (Chair)	6/6 – 100%
Audit Committee	5/5 – 100%

SECURITIES HELD:

Year	Common	Market Value
February 15, 2011	1,500 [1]	$ 70,200 [4]
February 15, 2010	1,500	$ 77,265

Name	Principal Occupation and Biography
Michael H. Vels Age: 49 Residence: Toronto, Ontario, Canada Director Since 2007 Not Independent 	OCCUPATION: Chief Financial Officer of the Corporation and Executive Vice-President and Chief Financial Officer, Maple Leaf Foods BIOGRAPHY: Mr. Vels joined Maple Leaf Foods in 1991, during which time he has held senior finance positions of increasing responsibility and was appointed to his current responsibilities as Executive Vice-President and Chief Financial Officer of Maple Leaf Foods in 2004. Mr. Vels was appointed Chief Financial Officer of the Corporation in 1999. He received his Chartered Accountant designation in South Africa in 1985 and worked for several years in the United Kingdom, specializing in mergers and acquisitions. CURRENT PUBLIC COMPANY DIRECTORSHIPS AND COMMITTEES: None DIRECTORSHIPS WITHIN THE PAST 5 YEARS: None *No interlocking outside public company directorships*[3] BOARD AND COMMITTEE MEMBERSHIPS AND 2010 MEETING ATTENDANCE: All Regularly Scheduled Board and Committee Meetings 7/7 – 100% Board of Directors 7/7 – 100% SECURITIES HELD: Year / Common / Market Value February 15, 2011 / 5,000 [1] / $ 234,000 [4] February 15, 2010 / 5,000 / $ 257,550

Notes:

(1) The number of shares reported above as held at February 15, 2011 is equal to the number held as at March 24, 2011, the date of this circular. As of February 15, 2011, the nominees for directors listed above beneficially owned, directly or indirectly, or exercised control or direction over the number of Common Shares of the Corporation indicated in the table above. The information as to shares beneficially owned, not being within the knowledge of the Corporation, has been furnished by the respective directors individually.

(2) Maple Leaf Foods holds 90.0003% of Canada Bread. McCain Capital Corporation is the owner of 43,890,784 common shares of Maple Leaf Foods, representing approximately 31.34% of all issued and outstanding common shares of Maple Leaf Foods. The majority of the shares of McCain Capital Corporation are owned by members of the G. Wallace F. McCain family, including G.W.F. McCain, M.H. McCain and J.S. McCain. Mr. R.A. Lan is also a shareholder of McCain Capital Corporation. (Reference is made to the heading "Voting Securities and Principal Holders Thereof".) G. Wallace F. McCain, J. Scott McCain, Michael H. McCain, and Richard A. Lan are among the directors of McCain Capital Corporation.

(3) Directors who served together on the board of directors of other publicly traded companies as at March 17, 2011.

(4) The closing price of the Corporation's stock on February 15, 2011 was $46.80.

CANADA BREAD COMPANY, LIMITED COMMITTEE MEMBERS AND CHAIRS:

Name	Audit	Governance
W.E. Aziz	Chair	✓
S.A. Everett	✓	✓
J.F. Petch	✓	Chair

N.B. *Messrs. G.W.F. McCain, J.S. McCain,M.H. McCain, R.A. Lan and M.H. Vels do not serve on any committees as they are not independent directors.*

INFORMATION REGARDING CERTAIN DIRECTORS

Within ten years preceding the date of this circular:

Mr. Aziz was a director of Doman Industries Limited (2003 and 2004) during the period the company was operating under CCAA protection (granted in 2002) and filed a sanctioned plan of compromise and arrangement (2004). Mr. Aziz was appointed an officer of Atlas Cold Storage Income Trust (2003) when certain officers and directors (not including Mr. Aziz) were the subject of a cease trade order. Mr. Aziz was the Chief Financial Officer of Hollinger Inc. and its subsidiaries from March 2007 to May 2008 and has been the Chief Restructuring Officer of Hollinger Inc. and certain of its subsidiaries since May 2008, which company and certain subsidiaries were granted an initial order under the CCAA on August 1, 2007.

When Mr. Aziz was appointed the Chief Financial Officer of Hollinger Inc. on March 8, 2007, he became subject to a management cease trade order ("MCTO") in respect of Hollinger Inc. which was originally issued on June 1, 2004, by the Ontario Securities Commission and which order remained in place until April 10, 2007, when the MCTO was revoked by the Ontario Securities Commission as a result of Hollinger Inc. filing all documents it was required to file pursuant to Ontario securities laws. Mr. Aziz was subsequently appointed Chief Restructuring Officer of Hollinger Inc. in May 2008, and since that time, the Ontario and Alberta Securities Commissions have issued Permanent Cease Trade Orders against Hollinger Inc., with the consent of that company and approved by the Ontario Superior Court of Justice.

Ms. Everett was Chairman and a director of Tereve Holdings Ltd., a private company which was subject to proceedings under the CCAA in 2005 and subsequently subject to bankruptcy proceedings under the Bankruptcy and Insolvency Act (Canada) in 2006.

APPOINTMENT OF AUDITORS

The Board proposes that KPMG LLP be appointed as auditors of the Corporation and that the shareholders authorize the directors to fix their remuneration. **The persons named in the enclosed form of proxy (unless otherwise instructed) intend to vote to appoint KPMG LLP, Chartered Accountants, Toronto, as auditors of the Corporation to hold office until the next Annual Meeting of Shareholders of the Corporation and to authorize the directors to fix their remuneration.** KPMG LLP was first appointed auditor of Canada Bread in 1995 and has served continuously since then.

For the years ended December 31, 2010 and 2009, the fees paid by the Corporation for the services performed by KPMG LLP are set out in the table below. Annually, the Audit Committee reviews a summary of all services provided by the auditors to the Corporation and its subsidiaries. The Audit Committee has established a policy requiring prior approval by the Committee or the Chairman of the Committee of all non-audit services to be rendered by KPMG LLP.

In the last two years, KPMG LLP has not provided any of the following services to the Corporation: (i) bookkeeping services and other services related to accounting records or financial statements; (ii) financial information systems design and implementation; (iii) appraisal or valuation services, fairness opinions or contribution-in-kind reports; (iv) actuarial services; (v) internal audit outsourcing services; (vi) management functions; (vii) human resources; (viii) broker-dealer, investment advisor or investment banking services; and (ix) legal services and expert services unrelated to the audit.

Description	2010 ($)	2009 ($)
Audit fees (1)	767,930	672,360
Audit-related fees (2)	87,333	83,580
Tax fees (3)	182,702	213,971
All other fees (4)	—	1,180,021
Total fees	1,037,965	2,149,932

Notes:

(1) For the audit of the Canada Bread annual financial statements (including the audits of subsidiaries).

(2) Audit-related services consisting primarily of audit procedures related to audits of financial statements of employee pension benefit plans that are not reported under "Audit fees".

(3) For domestic tax compliance and international tax planning and compliance services.

(4) For products and services other than the fees reported in (1) to (3). The 2009 fees are primarily for forensic accounting services.

DIRECTOR AND EXECUTIVE COMPENSATION

Directors of the Corporation received remuneration for their services during the 2010 financial year in an aggregate amount of $319,683. Retainers for Board and committee service are paid quarterly in arrears. These retainers are paid starting after the election of the directors at each annual meeting and are in respect of service on the Board for the period commencing then and ending on the date of the next annual meeting. The fee schedule was amended effective July 1, 2010. Under the amended fee schedule, fees for attendance at meetings were eliminated.

Fee schedule prior to July 1, 2010:

Director's Retainer	$70,000
Committee Retainer	$1,500
Chairman, Governance Committee Retainer	$3,000
Chairman, Audit Committee Retainer	$8,000
Fee for attendance in person at Board meeting	$1,500
Fee for attendance by teleconference at Board meeting	$800
Fee for attendance at committee meeting on same day as a Board meeting	$800
Fee for attendance at committee meeting by teleconference	$800
Fee for attendance at committee meeting otherwise	$1,000

Fee schedule effective July 1, 2010:

Fee for service as a director	$120,000
Fee for service as Chair of the Audit Committee	$15,000
Fee for service as Chair of the Governance Committee	$10,000
Fee for service as a member of a committee	$1,500

The Governance Committee has recommended that a portion of the annual retainer be used to purchase Common Shares of the Corporation. Directors who are officers of the Corporation or any subsidiary company or of Maple Leaf Foods do not receive fees. Directors are also reimbursed for travel and other out-of-pocket expenses incurred in attending Board or committee meetings.

Name	Fees Earned ($)	Share-Based Awards ($)	Option Board Awards ($)	Non-Equity Incentive Plan Compen-sation ($)	Pension Value ($)	All Other Compen-sation ($)	Total ($)
William E. Aziz	111,475						111,475
Sarah A. Everett	102,017						102,017
John F. Petch	106,192						106,192
Total	319,683	–	–	–	–	–	319,683

COMPOSITION OF THE COMPENSATION COMMITTEE

The Governance Committee serves as the Corporation's compensation committee. The Governance Committee is composed of three directors, all of whom are independent within the meaning of applicable securities laws. The Committee consists of John F. Petch (Chairman), William E. Aziz and Sarah A. Everett.

No member is currently the Chief Executive Officer of any publicly listed entity. Each Governance Committee member has experience with executive compensation matters. The Governance Committee supports its independence by meeting *in camera* at each meeting held in person.

The Governance Committee meets at least twice a year as required at the call of the Chairman of the Committee. In 2010, the Governance Committee met six (6) times.

Executive Compensation

COMPENSATION DISCUSSION AND ANALYSIS

Compensation Philosophy

The Chief Executive Officer ("CEO") of the Corporation is also the Chief Operating Officer, Food Group, Maple Leaf Foods, and the Chief Financial Officer ("CFO") of the Corporation is also CFO of Maple Leaf Foods. Compensation decisions regarding the CEO and CFO, in the first instance, are made by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee of Canada Bread. The CEO's and CFO's compensation is borne partially by Canada Bread and partially by Maple Leaf Foods through a shared services agreement. In all cases, the compensation systems and philosophy for the two companies are coordinated and allow for the free movement of executives and staff between them.

The Corporation has four main components to its compensation for senior executives: base salary, annual bonus, participation in long-term equity-based plans and benefits in kind or perquisites. The first three of these components have as their objectives to attract, motivate and retain the Named Executive Officers ("NEOs").

The Corporation's philosophy is that fixed compensation (base salary) be initially benchmarked to the median for a market peer group, with an opportunity for above median (up to the 75th percentile) salaries for sustained excellent performance. Similarly, the Corporation offers median variable or at-risk compensation linked to performance (bonuses). Superior performance will lead to above-market bonuses. A similar philosophy applies to long-term equity-based incentives. Regarding benefits and perquisites, the Corporation's philosophy is to reward employees with competitive base pay plus a significant amount of variable compensation, based on performance. As such, other incentives that cannot be converted to variable compensation are minimized. In all cases, the Governance Committee (in this Executive Compensation section referred to as the "Committee") uses benchmark data solely as a guideline or point of reference and not as a substitute for the judgment of the Committee.

The Corporation has adopted a comprehensive and rigorous performance evaluation methodology for all salaried employees, upon which all compensation matters are based. The Corporation's compensation philosophy is to provide competitive compensation which targets the competitive median for base salary and incentive levels for its senior executives, while recognizing and rewarding top performers above the competitive median through variable or at risk compensation which reflects the performance/sustained contribution of each executive.

Compensation Elements

The Corporation's executive compensation program is comprised of fixed and variable components. The variable components include equity and non-equity incentive plans. Each compensation component has a different function, but all elements work in concert to maximize company and individual performance by establishing specific, competitive operational and financial goals and providing financial incentives to employees based on their level of achievement of these goals.

The compensation program consists of the following components:

Base Salary – Base salary and annual adjustments are based on an assessment of the individual executive's responsibility, experience, contribution and assessed performance and the financial performance of the Corporation as well as salary levels for other companies in a market peer benchmark. The annual adjustment date is the start of the pay period in which July 1 occurs. For the CEO, base salary is set by taking into account salary levels of US companies in the consumer packaged goods industry. With respect to the CFO, base salary is set by taking into account salary levels of Canadian companies of a similar size (75% weighting) and several US companies in the consumer packaged goods industry (25% weighting).

Compensation for the executives in charge of the Corporation's principal operating divisions ("Business Unit" or "BU") is benchmarked as follows: (i) For the President, Fresh Bakery and the President, Frozen Bakery, compensation was

benchmarked to the Mercer Executive Management and Professional Survey, a compensation database for Canada (75% weight) and the US (25% weight) for companies in the same size range; and (ii) for the President, Maple Leaf Bakery UK, compensation was benchmarked to the Mercer Total Remuneration Survey United Kingdom.

For 2010, the benchmark companies were:

CEO	US Comparators	Dean Foods	Hershey	J & J Snack Foods Corp.
		Flowers Foods	Treehouse Foods Inc.	Tootsie Roll Industries Inc.
CFO	Canadian Comparators	Brookfield Asset Management	Canadian Tire Corp.	Cascades Inc.
		Alimentation Couche-Tard	Sears Canada Inc.	Transat AT Inc.
		Thomson Corp.	Saputo Inc.	Atco Ltd.
		Agrium Inc.	Canadian Pacific Railway Ltd.	Finning International
		ACE Aviation Holdings	RONA Inc.	Shaw Communications
		METRO Inc.	Molson Coors Cda Inc.	TransAlta Corp.
		Fairfax Financial Hldg.	Shoppers Drug Mart	Tembec Inc.
		Celestica	Intact Financial Corp.	Tim Hortons Inc.
	US Comparators	Archer Daniels Midland	H.J. Heinz	McCormick
		Kraft Foods	Campbell Soup	Treehouse Foods Inc.
		Tyson Foods	Hormel Foods	Hain Celestial Group
		General Mills	Ralcorp Holdings	Lancaster Colony Corp.
		Sara Lee	Hershey	Lance Inc.
		Kellogg	J.M. Smucker	J & J Snack Foods Corp.
		Dean Foods	Flowers Foods	Tootsie Roll Industries Inc.
		ConAgra Foods	Ralcorp Holdings	
		Smithfield Foods	Corn Products Int'l.	
President, Fresh Bakery	Canadian Comparators	2009 Mercer Canadian Executive Management and Professional Survey (1) for companies with revenue between $0.5 billion and $2 billion		
	US Comparators	2009 Mercer US Executive Management and Professional Survey (1) for companies with revenue between $0.5 billion and $2 billion		
President, Frozen Bakery	Canadian Comparators	2009 Mercer Canadian Executive Management and Professional Survey (1) for companies with revenue between $0.25 billion and $1.25 billion		
	US Comparators	2009 Mercer US Executive Management and Professional Survey (1) for companies with revenue between $0.25 billion and $1.25 billion		
President, Maple Leaf Bakery UK	UK Comparators	2009 Mercer Total Remuneration Survey (1) for U.K. companies		

Note:

(1) Mercer has advised that it cannot disclose the identity of participating organizations within a specific revenue range due to confidentiality covenants with survey participants.

Short Term Incentive Plan – The Corporation's short term incentive plan ("STI") aims to enhance the link between pay and performance by:

- Aligning the financial and operational interests and motivations of the Corporation's management team and employees with the annual financial returns of the Corporation;
- Motivating management to work towards common annual performance objectives while acknowledging and rewarding individual goal achievement;
- Providing total cash compensation that is greater than the median of the market peer group in cases where superior financial performance in excess of target objectives is attained; and
- Providing total cash compensation that is at or below the market median in cases where performance objectives are not attained.

Under the plan, a portion of an executive's bonus is determined by the consolidated MLF team performance against adjusted earnings before tax ("EBT") targets, their BU team performance against adjusted EBT targets, and a portion by the achievement of individual objectives. Linking a portion of the executive's bonus to the financial results of Maple Leaf Foods ("MLF Team EBT") is new in 2010. It will serve to strengthen the synergies between Maple Leaf Foods and the Corporation, for the mutual benefit of both. Participation levels for the bonus program are determined by market competitiveness.

The following table illustrates the STI payout as a percentage of base salary at the minimum target and maximum performance levels and the weighting of the STI components of the plan for the NEOs.

Components of the STI Plan						
	Target Payout Ranges			Weighting of Components		
	Payout as % of Base Salary					
Target	Minimum [1]	Maximum [1]	%	MLF Team EBT [2] %	Business Unit Team EBT [3] %	Individual Objectives [4]
Richard A. Lan, CEO	80%	35%	125%	80%	–	20%
Michael H. Vels, CFO	80%	35%	125%	80%	–	20%
C. Barry McLean, President, Fresh Bakery	60%	25%	95%	25%	50%	25%
Réal G. Ménard, President, Frozen Bakery	60%	25%	95%	25%	50%	25%
Peter Baker, President, Maple Leaf Bakery UK	60%	25%	95%	25%	50%	25%

Notes:

(1) Below the minimum performance level, no bonus is payable. At the minimum level, the amount shown is payable, and for performance above the maximum, the maximum is payable.

(2) EBT excluding unusual items. Mr. Lan is CEO of the Corporation as well as Chief Operating Officer, Food Group, Maple Leaf Foods. Mr. Vels, the CFO of the Corporation, is also CFO of Maple Leaf Foods. Their compensation is paid by Maple Leaf Foods, with a portion borne by the Corporation through a shared services agreement. For both executives, the team portion of the STI bonus is calculated on the earnings for Maple Leaf Foods as a whole, including Canada Bread.

(3) EBT excluding unusual items. The relevant Business Units for these executives are: Fresh Bakery operations, Frozen Bakery operations and the U.K. bakery operations.

(4) Individual objectives are set based on the executive's area of responsibility, such as a goal to launch new products or open a new plant or a new line. The objectives are established at the start of the year and are approved by the Board.

Annual Incentive for 2010

Name	MLF Team [2] Performance Score as a % of Target %	STI MLF Payout $	Business Unit Team [2] Performance Score as a % of Target %	STI BU Team Payout $	Individual Performance Score as a % of Target %	STI Individual Payout $	Total STI Payout $
Lan, R.A [1] [3]	104.0	625,600			85.8	92,548	718,148
Vels, M.H. [1]	104.0	485,760			112.5	135,300	621,060
McLean, C.B.	104.0	93,739	104.9	193,158	113.0	105,726	392,623
Ménard, R.G.	104.0	70,900	<75.0	0	121.0	91,523	162,503
Baker, P. [4]	104.0	37,683	<75.0	0	101.6	33,827	71,510

Notes:

(1) For both Mr. Lan and Mr. Vels, the team portion of the STI bonus is calculated on the earnings for Maple Leaf Foods as a whole, including the results of Canada Bread.

(2) The targets are calibrated so that they can be achieved with strong effort and no unusual circumstances. A maximum payout, while possible, is not likely to occur frequently. Over time, the average score is expected to be close to 100%.

(3) Mr. Lan is compensated in U.S. dollars and amounts shown are in $US.

(4) Mr. Baker is compensated in Great Britain Pounds Sterling and amounts shown are in £ GBP.

Equity Incentive Compensation – Senior employees of the Corporation are eligible to participate in the Maple Leaf Foods share compensation arrangements, and awards have been granted to executives from time to time, based on recommendations by senior management. Participation in the Maple Leaf Foods equity incentive program is designed to:

- Recognize and reward the impact of longer-term strategic actions undertaken by management;
- Align the interests of the Corporation's key employees and its shareholders;
- Focus management on developing and successfully implementing the continuing growth strategy of the Corporation;
- Foster the retention of key management personnel; and
- Attract talented individuals to the Corporation.

In 2006, the Maple Leaf Foods restricted share unit ("RSU") plan was revised. Under the revised plan, on maturity, vested RSUs are distributed in the form of shares purchased by a trust on the Toronto Stock Exchange ("TSX"). The maturity period under the structure is limited to three years. The performance vesting formula (based on Maple Leaf Foods' total shareholder return versus the S&P Food Index) has remained in place, with some modifications. For each RSU granted, one share is awarded on maturity if Maple Leaf Foods' performance equals the S&P Food Index. (The S&P Food Index, while not a published index, is maintained by Standard & Poor's and consists of the food company stocks, approximately 33, that are in the S&P 500 Index, the S&P Midcap 400 and the S&P Smallcap 600.) At 75% performance or less, one-half share vests and is awarded for each RSU held. At 125% performance, the maximum, one and one-half shares, vest and are awarded for each RSU held.

Performance [1]	Percent Vesting
75% or below	50%
100%	100% [2]
125% or above	150% [2]

Notes:

(1) Performance means Maple Leaf Foods' total shareholder return expressed as a percentage of the S&P Food Index total shareholder return for the same period.

(2) Vesting is prorated if performance is between 75% and 100%, or 100% and 125%.

Three years following the date of grant, all RSUs that have vested in accordance with the table will vest and be distributed as shares.

The number of share options and RSUs granted to each executive and to all senior managers is based on individual performance assessments. The number of RSUs granted is based on the expected value of the RSUs. For each executive, the award is based on the median of similar awards in a benchmark peer group and the executive's individual performance.

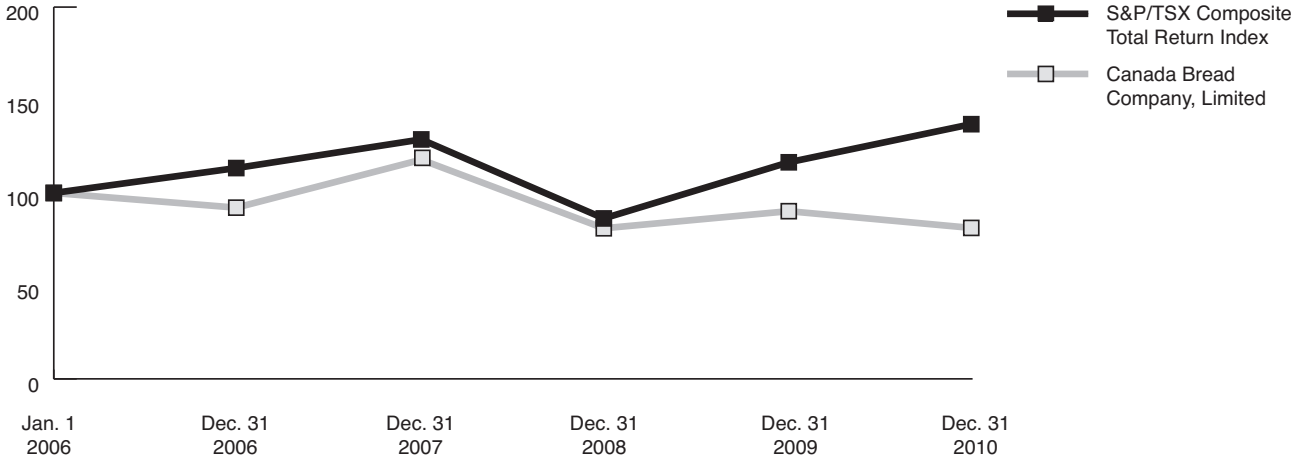
Benefits and Perquisites

Group Benefits – Executives enjoy the same group benefits (Life, Health, Dental, Disability, Optional Life) as other salaried employees of the Corporation. Benefits and perquisites for the NEOs are below the lesser of $50,000 or 10% of their base salary. Perquisites consist of a car benefit, club membership, annual medical examination and financial counselling. The Corporation does not believe that these compensation features help it to attract, retain and/or motivate executives to any material extent.

Pension Benefits – Pension benefits provided to executives are non-discriminatory. Executives participate in the pension arrangements available to substantially all of the Corporation's salaried employees. All required contributions are made by the Corporation in the case of senior executives participating in the Canadian defined benefit pension and defined contribution plans, while non-executive salaried employees are required to make contributions to the plan.

SHARE PERFORMANCE TABLE

The following chart compares the total cumulative shareholder return of $100 invested in Canada Bread Common Shares for the period January 1, 2006, to December 31, 2010, with the cumulative total return of the S&P/TSX Composite Total Return Index for the same period. The Corporation's Common Shares closed at $45.76 on the TSX on December 31, 2010, the last trading day prior to the end of the fiscal year.



	Jan. 1 2006	Dec. 31 2006	Dec. 31 2007	Dec. 31 2008	Dec. 31 2009	Dec. 31 2010
S&P/TSX Composite Total Return Index	100.0	113.4	128.8	86.3	116.5	137.0
Canada Bread Company, Limited	100.0	92.1	117.9	81.0	90.2	81.2

Comparison of Executive Compensation and Shareholder Returns

For the five years of compensation in the measurement period, compensation of the five executives who were NEOs increased by 44%, while the total shareholder return on the Corporation's shares was a loss of 21%. The following table shows the shareholder return and total compensation for that period. A majority in the variability in the aggregate reported compensation for the NEOs is attributable to the annual incentive plan. Payouts for the plan were low in 2006 and 2008.

It is important to note that the total compensation included the full earnings for both the CEO and the CFO, who are paid by the Corporation's parent company, Maple Leaf Foods. Compensation decisions regarding the CEO and CFO are made by the Board and the Human Resources and Compensation Committee of Maple Leaf Foods and then reviewed with the Governance Committee of Canada Bread. The CEO's and CFO's compensation is borne partially by Canada Bread and partially by Maple Leaf Foods through a shared services and cost-sharing agreement.

	Total 2006-2010	2010	2009	2008	2007	2006
Total Shareholder Return:						
S&P/TSX Composite Total Return Index	37%	18%	35%	–33%	14%	13%
Canada Bread [(1)]	–21%	–12%	11%	–31%	28%	–8%
Total Compensation for All NEOs [(2)]	$47.6	$10.4	$10.8	$8.6	$10.6	$7.2

Notes:

(1) Total shareholder return is calculated on the basis of the year-end share value with dividends reinvested. The amount in the "Total 2006–2010" column is the aggregate simple return over the five-year period.

(2) The total compensation shown for all NEOs is the total compensation as that term is defined for purposes of the summary compensation table for the executives who were NEOs in the year reported.

SUMMARY COMPENSATION TABLE

The following table provides a summary of compensation earned during each of the last three fiscal years by the CEO, the CFO (including any individual who held the position during the year) and the three most highly compensated executive officers other than the CEO and CFO. The CEO, CFO and other executive officers are referred to collectively as the "NEOs". This information is given as of December 31, 2010, the end of the most recently completed financial year of the Corporation.

Name and Principal Position	Year	Salary ($)	Equity Incentive Plan Compensation		Non-Equity Incentive Plan Compensation		Pension Value [3] ($)	All Other Compensation ($)	Total Compensation ($)
			Share-Based Awards [2] ($)	Option-Based Awards ($)	Annual Incentive Plans ($)	Long-Term Incentive Plans ($)			
R.A. Lan [1]	2010	862,826	2,790,520	–	739,649	–	10,093	–	4,403,088
President and Chief	2009	913,287	2,831,565	–	934,819	–	10,447	–	4,690,118
Executive Officer of	2008	866,137	2,303,381	–	124,093	–	9,807	–	3,303,418
the Corporation and Chief Operating Officer, Foods Group, Maple Leaf Foods									
M.H. Vels	2010	652,429	1,265,036	–	621,060	–	97,000	–	2,655,525
Executive Vice-	2009	641,756	1,283,053	–	707,886	–	29,698	–	2,662,393
President and Chief	2008	630,000	1,151,259	–	105,856	–	103,642	–	1,990,757
Financial Officer of the Corporation and Maple Leaf Foods									
C.B. McLean	2010	527,900	654,609	–	392,623	–	99,107	14,896	1,691,146
President,	2009	515,000	638,872	–	377,856	–	48,338	–	1,580,066
Fresh Bakery	2008	507,500	623,563	–	247,715	–	85,120	–	1,463,898
R.G. Ménard	2010	399,750	348,815	–	162,503	–	76,244	–	989,322
President,	2009	390,000	402,613	–	283,414	–	64,265	–	1,140,292
Frozen Bakery	2008	360,500	335,964	–	262,001	–	72,237	–	1,030,702
P. Baker [4]	2010	356,079	218,591	–	113,827	–	–	–	690,507
President,	2009	276,092	345,097	–	166,000	–	–	–	787,189
Maple Leaf Bakery UK									

Notes:

(1) All compensation shown for Mr. Lan other than equity-based and long-term compensation amounts is paid in US dollars. The amounts in the table above were converted using the average exchange rate for the relevant year, as reported by the Bank of Canada: 1.02994 in 2010, 1.1420 in 2009, and 1.0660 in 2008. Refer to the table below under the heading "Summary Compensation Table – Supplemental Information", where Mr. Lan's compensation is shown in US dollars.

(2) The share-based awards represent RSUs granted under the Maple Leaf Foods 2006 Share Incentive Plan, details of which are found on page 16 under the heading entitled "Share-Based Incentive Plans". The RSUs have been valued using assumptions and methodology consistent with those for valuing the expense in the Maple Leaf Foods financial statements, except that no discount for potential forfeiture of RSUs due to termination of employment was factored into the valuation. The number of shares expected to vest under the plan was estimated based on the historic volatility of Maple Leaf Foods' share price in comparison to the volatility of the S&P Food Index. The assumptions used for accounting purposes are found in Note 16 of the financial statements of Maple Leaf Foods for the years ended December 31, 2010 and 2009. The financial statements may be found on the website of Maple Leaf Foods at www.mapleleaf.ca and on SEDAR at www.sedar.com.

(3) Mr. Lan participates in the defined contribution plans of the Corporation. Mr. McLean and Mr. Ménard are members of the Canada Bread defined benefit pension plans, while Mr. Vels belongs to the Maple Leaf Foods defined benefit pension plans. Mr. Baker does not participate in any pension arrangements sponsored by the Corporation. The amount in the table above represents the compensatory pension expense related to the service for each of the NEOs, including the impact of differences between actual compensation paid in 2010 and the actuarial assumptions used for the year. The amount shown for Mr. Lan is the Corporation's contribution to a defined contribution 401(k) plan in the United States.

(4) The amounts in the table reflect the compensation paid to Mr. Baker since April 2009, the date on which he joined the Corporation.

SUMMARY COMPENSATION TABLE – SUPPLEMENTAL INFORMATION

Name and Principal Position	Year	Salary	Share-Based Awards	Option-Based Awards	Annual Incentive Plans	Long-Term Incentive Plans	Pension Value	All Other Compensation	Total Compensation
USD $									
R.A. Lan	2010	837,745	2,709,403	–	718,148	–	9,800	–	4,275,096
President and Chief	2009	856,731	2,479,528	–	876,929	–	9,800	–	4,222,988
Operating Officer,	2008	812,500	2,160,741	–	116,408	–	9,200	–	3,098,849
Foods Group									
GBP £									
P. Baker	2010	223,700	137,326	–	71,510	–	–	–	432,536
President,	2009	155,077	193,836	–	93,240	–	–	–	442,153
Maple Leaf Bakery UK									

SHARE-BASED INCENTIVE PLANS

In 2006, Maple Leaf Foods adopted a new share-based incentive compensation plan (the "2006 Plan" or the "RSU Plan") for its employees and executive officers and employees and executive officers of its subsidiaries (including Canada Bread). The 2006 Plan provides for the grant of RSUs. On maturity, assuming the performance criteria are achieved, participants receive one fully paid share of Maple Leaf Foods for each vested RSU held (subject to upward or downward adjustment based on performance). The following table sets out the RSUs awarded to the NEOs in 2010 under the 2006 Plan. Executives of Canada Bread have participated in Maple Leaf Foods' equity incentive plans: the 2004 Share Incentive Plan and the 2006 Plan. The 2004 Share Incentive Plan provides for the grant of options and RSUs that are satisfied by the issuance of shares by Maple Leaf Foods from treasury. The 2006 Plan provides for the grant of RSUs that are satisfied through the acquisition of Maple Leaf Foods shares in the market by a trust established for that purpose. Share options were issued under the 2004 Share Incentive Plan.

Generally, all share options and RSUs have a performance condition whereby vesting is based on the total return of Maple Leaf Foods' shares for the relevant period compared with the total return of the S&P Food Index, a group of approximately 33 North American food stocks.

The Corporation has not granted share options under its share option plan (see page 29) since 1995. Grants under the plan are awarded by resolution of the Board and any amendments permitted by the plan may only be made by resolution of the Board.

OUTSTANDING RSUs AND SHARE OPTIONS

	Option-Based Awards				Share-Based Awards		
Name	Number of Securities Underlying Unexercised Options #	Option Exercise Price $	Option Expiration Date [1]	Value of Unexercised in-the-Money Options [2] $	Date of Grant	Number of Shares or Units of Shares That Have Not Vested [3][4] #	Market or Payout Value of Share-Based Awards That Have Not Vested [5] $
Lan, R.A.	36,700	13.21	September 16, 2011	–	October 1, 2008	333,375	1,265,714
	23,300	16.37	September 7, 2012	–	October 1, 2009	480,000	1,822,400
					October 1, 2010	360,000	1,366,800
Vels, M.H.	36,700	13.21	September 16, 2011	–	October 1, 2008	166,625	632,601
	23,300	16.37	September 7, 2012	–	October 1, 2009	217,500	825,775
					October 1, 2010	163,200	619,616
McLean, C.B.	23,300	13.21	September 16, 2011	–	October 1, 2008	90,250	342,668
	11,700	16.37	September 7, 2012	–	October 1, 2009	108,300	411,179
					October 1, 2010	84,450	320,629
Ménard, R.G.	15,000	13.21	September 16, 2011	–	October 1, 2008	48,625	184,632
	6,300	16.37	September 7, 2012	–	October 1, 2009	68,250	259,123
					October 1, 2010	45,000	170,950
Baker, P.					October 1, 2009	58,500	222,105
					October 1, 2010	28,200	107,066

Notes:

(1) All share options listed in the table above vest over a minimum of three years and maximum of five years based on the return of the Maple Leaf Foods shares for the period compared with the return of the S&P Food Index. If the total return of the Maple Leaf Foods shares is below 75% of the total return of the comparative index for the relevant measurement period, none of the options vest. At 75%, one-half vest. If performance falls between 75% and 100%, a proportionate number will vest. The options have a term of seven years but expire earlier if the executive ceases to be an employee.

(2) The in-the-money value was calculated using the closing share price of Maple Leaf Foods on the TSX of $11.39 per share on December 31, 2010.

(3) RSUs granted before 2006 were granted under the Maple Leaf Foods 2004 Share Incentive Plan. Under the plan, for each RSU awarded, if the performance-vesting conditions are met, one share of Maple Leaf Foods will be distributed to the participant. The RSUs vest over three to five years based on the total return of Maple Leaf Foods' shares for the period compared with the total return of the S&P Food Index. If the total return of Maple Leaf Foods' shares is below 75% of the total return of the comparative index for the relevant measurement period, none of the RSUs vest. At 75%, one-half vest. If performance falls between 75% and 100%, a proportionate number will vest. On maturity, participants receive one fully paid share for each vested RSU held. The RSUs meeting the performance criteria on or before the first three years vest at the end of year three, while RSUs meeting the performance feature in years four and five vest at the end of year five. The RSUs vest fully only on the distribution date, and an executive who ceases to be an employee prior to the distribution date forfeits the awards.

(4) Since 2006, all RSUs have been granted under the Maple Leaf Foods 2006 RSU Plan. For each RSU granted, one share is awarded on maturity if Maple Leaf Foods' performance equals the S&P Food Index. At 75% performance or below, one-half share vests and is awarded. At 125% performance, the maximum one and one-half shares vest and are awarded. Vesting is prorated if performance is between 75% and 100% or 100% and 125%. For grants from 2006 through 2008, one-quarter of the number of RSUs vest and are distributed to holders 18 months after the date of grant. Three years following the date of grant, all RSUs vesting pursuant to the formula above, less in the case of grants in 2008 the RSUs that vested and were distributed earlier, will vest and be distributed. The RSUs vest fully only on the distribution date, and an executive who ceases to be an employee prior to the distribution date forfeits the awards. The number of shares shown in the table above is the maximum number of shares that will be distributed, assuming Maple Leaf Foods' share price performance exceeds the 125% maximum.

(5) The market payout value is based on:

(i) the share price of Maple Leaf Foods at December 31, 2010, $11.39; and

(ii) the number of Maple Leaf Foods shares that will be distributed assuming that Maple Leaf Foods' share price performance for all performance periods ending after December 31, 2010 is below the 75% minimum described in footnotes (3) and (4) above.

INCENTIVE PLAN AWARDS – VALUE VESTED OR EARNED IN THE YEAR

Name	Option-Based Award – Value Vested During the Year	Share-Based Award – Value Vested During the Year [1]	Non-Equity Incentive Plan Compensation – Value Earned During the Year [2]
		$	$
Lan, R.A.	–	1,394,911	739,649
Vels, M.H.	–	723,277	621,060
McLean, C.B.	–	379,680	392,623
Ménard, R.G.	–	255,941	162,503
Baker, P. [3]	–	–	113,827

Notes:

(1) In 2010, RSUs granted on October 1, 2007, and October 1, 2008, vested in part, and the shares were distributed to the participants. The amount in the table reflects the value of the shares distributed using the average trading price of the shares on the date of distribution – $9.26 for shares distributed on May 10, 2010 (for October 1, 2008, grants), and $12.44 for shares distributed on November 16, 2010 (for October 1, 2007, grants).

(2) The amounts in this column represent the payments under the Short Term Incentive Plan, the details of which are described under the subheading "Short Term Incentive Plan" on pages 11 to 13 of this circular.

(3) Mr. Lan is paid in USD and Mr. Baker is paid in GBP. The amounts in the table are in Canadian dollars. The amount in USD for Mr. Lan is $718,148 and in GBP for Mr. Baker is £71,510.

PENSION PLANS

Mr. Lan participates in Maple Leaf Foods' qualified 401(k) plan in the United States. Mr. Vels participates in Maple Leaf Foods' registered defined benefit and non-registered supplemental defined benefit plans in Canada. Messrs. McLean and Ménard participate in the Corporation's registered defined benefit plan, and non-registered supplemental defined benefit plans in Canada. Mr. Baker elected not to participate in the Maple Leaf Foods' pension plan in the United Kingdom. Each of the defined benefit plans applies to a closed group of salaried employees.

PENSION TABLE – DEFINED BENEFIT PLANS

The table below shows the following for each NEO participating in the Corporation's and Maple Leaf Foods', as applicable, defined benefit pension plans:

- Years of credited service as at December 31, 2010 and at the NEO's age of 65;
- Estimated annual benefit accrued, or earned, for service up to December 31, 2010 and up to the normal retirement age of 65; and
- A reconciliation of the accrued obligation from December 31, 2009 to December 31, 2010.

Name	Number of Years of Credited Service [1]		Annual Benefits Payable [2]		Accrued Obligation at December 31, 2009 [3]	2010 Compensatory Change [4] [7]	2010 Non-Compensatory Change [5] [7]	Accrued Obligation at December 31, 2010 [6] [7]
	At December 31, 2010	At Age 65	At December 31, 2010	At Age 65				
			$	$	$	$	$	$
Vels, M.H.	19.5	34.9	235,573	421,816	1,885,393	97,000	455,488	2,437,881
McLean, C.B.	10.2	24.0	98,194	231,759	763,653	99,107	188,301	1,051,061
Ménard, R.G.	11.3	11.3	61,362	61,362	587,533	76,244	80,232	744,009

Notes:

(1) The Credited Service as at December 31, 2010 corresponds to the actual years of service with the Corporation, its subsidiaries and Maple Leaf Foods. The credited service as at age 65 is the sum of the credited service as at December 31, 2010 and the projected credited service from December 31, 2010 to the year in which the executive turns 65. Although the Maple Leaf Foods' and the Corporation's pension plans do not prohibit granting years of service in addition to years of membership, this option has been used infrequently in the last 10 years. As a result, the Corporation and Maple Leaf Foods are reviewing these provisions.

(2) The Annual Benefit Payable is the amount of annual pension payable in the normal form. Messrs. Vels and McLean were not eligible to retire at December 31, 2010. For them, the amount of Annual Benefit Payable at December 31, 2010 is the annual pension the NEO would have been entitled to on termination of employment at that time. The amount is payable from age 65 onwards. The amount is based on the years of credited service earned to December 31, 2010 and on average pensionable earnings at December 31, 2010. Mr. Ménard was eligible to retire at December 31, 2010, with an unreduced pension. For him, the amount of Annual Benefit Payable at December 31, 2010 is the

annual pension he would have been entitled to had he retired at that time. For all NEOs, the Annual Benefit Payable at age 65 is the Annual Benefit Payable at December 31, 2010, increased to reflect credited service at age 65. Pensionable earnings are composed of salary only and exclude annual cash incentive payments and other compensation. The NEOs are fully vested in their pension entitlements earned to December 31, 2010.

(3) The accrued obligation is the value of the projected pension earned for service to December 31, 2009. The values have been determined as at December 31, 2009, based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(4) The 2010 Compensatory Change is the value of the projected pension earned for service during 2010 as well as experience gains and losses arising from the NEO's salary increase for the year being greater or lesser than the assumption used. The values have been determined as at December 31, 2010, based on actual pensionable earnings adjusted to reflect expected increases to retirement.

(5) The 2010 Non-Compensatory Change includes interest accruing on the beginning-of-year obligation, other experience gains and losses, and changes in interest rate assumptions resulting from changes in long-term bond yields.

(6) The accrued obligation is the value of the projected pension earned for service to December 31, 2010. The values have been determined as at December 31, 2010, based on actual pensionable earnings adjusted to reflect expected increases in pensionable earnings.

(7) The calculations of reported amounts use the same actuarial assumptions and methods that are used for calculating accrued benefit obligations and annual expenses, as disclosed in the Corporation's and Maple Leaf Foods' 2010 consolidated financial statements at Note 18 and 21 respectively, and as prescribed by the Canadian Institute of Chartered Accountants. The methods and assumptions used to determine estimated amounts will not be identical to the methods and assumptions used by other issuers and, as a result, the figures may not be directly comparable across issuers. In accordance with Canadian generally accepted accounting principles, the amounts above make no allowance for the different tax treatment of the portion of pension not paid from the registered pension plans. All amounts shown above are based on assumptions and represent contractual entitlements that may change over time.

PENSION TABLE – DEFINED CONTRIBUTION PLANS

The table below shows a reconciliation of the account balances from December 31, 2009 to December 31, 2010 for the NEO participating in Maple Leaf Foods' qualified 401(k) plan in the United States.

Name	Accumulated Value at December 31, 2009 (1) $	2010 Compensatory Change (2) $	2010 Non-Compensatory Change (3) $	Accumulated Value at December 31, 2010 $
Lan, R.A.	394,109 (1)	10,093	63,345	467,547
Supplemental Information:				
Lan, R.A In US$ (1)	374,985	9,800	84,404	469,189

Notes:

(1) The pension account is held in US dollars and is converted to Canadian dollars using the exchange rates of $1.051 per US$1.00 as at December 31, 2009 and $0.9965 per US$1.00 as at December 31, 2010. Amounts other than the year-end balances have been converted using an average exchange rate for the year of $1.0299 per US$1.00.

(2) The 2010 Compensatory Change amount is the contribution made by the Corporation to the plan in 2010 in respect of the NEO, and is based on eligible earnings in 2010.

(3) The 2010 Non-Compensatory Change amount is the aggregate of the NEO's contributions in 2010, based on eligible earnings in 2010, together with investment earnings and changes attributable to the change to the exchange rates during the year where applicable.

SUMMARY OF DEFINED BENEFIT PLAN PROVISIONS (CANADA)

Messrs. Vels, McLean and Menard (with respect to his most recent 8 years of service), participate under defined benefit plans, as summarized below. Pension benefits are determined based on the member's credited service in the plan and average pensionable earnings at retirement. Average pensionable earnings are calculated as the highest average of the member's pensionable earnings (salary, excluding annual cash incentive payments and other compensation) earned over 60 months in the last 120 months of earnings preceding retirement. Retirement income is payable for the lifetime of the member with a minimum guarantee of 60 monthly payments. Payment options of actuarially equivalent value are also available.

The annual pension benefit is determined as follows:

- Multiply years of credited service (up to 35 years) by:
- The sum of:
  - 1.3 percent of average pensionable earnings up to the average of the last five years maximum pensionable earnings limits under the Canada/Quebec Pension Plans ("final average YMPE"); and
  - 2 percent of the excess of average pensionable earnings above the final average YMPE.

This pension is determined without regard to the maximum pension limit for registered pension plans under the *Income Tax Act* (Canada), with the amount in excess being paid under the supplemental non-registered plan.

The normal retirement age is 65, but members may elect to start their pension anytime between the ages of 55 and 71. There is no reduction to a member's pension if retirement occurs on or after attaining 60 years of age. If a member retires between age 55 and 60 and their age plus years of continuous service total at least 85 points, their pension will be reduced by 0.5 percent for each month that retirement is before age 60. Otherwise, pensions are reduced on an actuarial equivalent basis.

Designated Executives (which includes NEOs) are not required to contribute to the plan.

Mr. Ménard also has 3.25 years of credited service under the Corporation's defined benefit plans, whereby his pension benefit was determined as of December 31, 2002 based on his pensionable earnings at that time and is indexed annually based on the increase in the maximum pensionable earnings limit under the Canada/Quebec Pension Plans and is limited to the lesser of the rate of increase in the Average Industrial Wage Index and 5%.

FINANCIAL POSITION

The financial position for Maple Leaf Foods' and its subsidiaries' registered defined benefit plans, including those of the Corporation, are provided in the Maple Leaf Foods Management Proxy Circular. The financial position of the Corporation's plans is provided below.

The registered pension plans are funded plans. Following the methods prescribed by the Canadian Institute of Chartered Accountants (CICA), the registered plans have an excess of accrued obligations over plan assets of $28,545,000 at December 31, 2010.

The supplemental non-registered benefits are not funded. Almost all of these benefits, including those for the NEOs, are secured under letters of credit. The Corporation's accrued obligations at December 31, 2010 in respect of all current and former employees and executives who have supplemental non-registered benefits is $6,091,000, of which $4,493,000 has been charged to earnings as at December 31, 2010. These amounts do not include any amount for Mr. Vels, who participates in the Maple Leaf Foods pension arrangements.

SUMMARY OF 401(K) PLAN

Mr. Lan participates in the Maple Leaf Foods USA Retirement Plan which is a qualified 401(k) plan that is available to employees on a voluntary basis. Employees may elect to contribute annually up to 60 percent of their eligible earnings up to a maximum of $16,500 in 2010. Eligible earnings include salary, annual cash incentive payments and other compensation, up to a yearly maximum amount which was US$245,000 in 2010. The Corporation matches 100 percent of the participant's annual contribution for the first 3 percent of eligible earnings plus 50 percent for the next 2 percent of eligible earnings to a maximum match of 4 percent. Contributions are deposited into the participant's account and invested based on the investment elections made by the participant. The Corporation portion of a participant's account vests immediately. Participants are permitted, while employed by the Corporation, to make withdrawals from their account after attaining 59½ years of age. Otherwise, a participant's account is distributed when the participant leaves the Corporation or becomes permanently disabled. A non-qualified benefit plan is not offered by the Corporation.

FINANCIAL POSITION

The Maple Leaf Foods USA Retirement Plan is a fully funded 401(k) plan where assets equal accrued obligations.

TERMINATION AND CHANGE OF CONTROL BENEFITS

The Corporation does not have contracts of employment with any of its NEOs that specify benefits payable on termination of employment or change of control.

However, rules apply to all participants in the Maple Leaf Foods 2006 Plan, including the NEOs, on termination of employment.

Reason for Termination of Employment	Termination of RSUs
Termination by the Corporation for cause	RSUs held expire on the date of termination.
Termination by voluntary resignation	RSUs held expire on the date of termination.
Termination by the Corporation without cause	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination – a proportionate[1] number of RSUs continue to be held to the maturity/distribution date.
Retirement [2]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination continue to be held to the maturity/distribution date.
Early retirement [3]	RSUs granted less than six months before the date of termination expire on termination. RSUs granted more than six months before the date of termination – a proportionate[1] number of RSUs continue to be held to the maturity/distribution date.

Notes:

(1) The proportion is equal to the number of months from the date of grant to the date of termination to the number of months from the date of grant to the distribution date.

(2) Retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee was 60 years or older and had at least 10 years of service.

(3) Early retirement is defined as termination of employment other than by the Corporation for cause, at the time when the employee was 55 years or older and had at least 10 years of service.

REPORT ON CORPORATE GOVERNANCE

This Statement of Corporate Governance Practices has been prepared by the Governance Committee of the Board and has been approved by the Board.

The Board and management of the Corporation are committed to maintaining a high standard of corporate governance. The Board has responsibility for the overall stewardship of the Corporation and discharges such responsibility by reviewing, discussing and approving the Corporation's strategic planning and organizational structure and supervising management with a view to preserving and enhancing the underlying value of the Corporation. Management of the business within this structure is the responsibility of the CEO and senior management.

The Board has adopted the guidelines and employs practices and procedures related to corporate governance matters, which are summarized below:

BOARD RESPONSIBILITIES

1. Board Mandate

   The Board has responsibility for the stewardship of the Corporation and has adopted a formal mandate setting out the Board's stewardship responsibilities, including the Board's responsibilities for the appointment of management, strategic planning, monitoring of financial performance, financial reporting, risk management and oversight of the Corporation's policies and procedures, communications and reporting and compliance. A full copy of the Board's mandate is available on SEDAR (www.sedar.com) and is incorporated by reference into this Management Information Circular.

2. Corporate Strategy

   Management is led by the CEO, who is responsible for the development of long-term corporate strategy, while the role of the Board is to review, question, validate and, ultimately, after incorporating the Board's suggestions into the proposals of management, to approve the strategies of each division of the Corporation and the Corporation as a whole. The process of strategy development is continuous and evolving, and the Board receives periodic updates from management on developments to the Corporation's long-term strategy. On a rotating basis, the Board conducts an in-depth review of each division's operations, competitive positioning and strategy. At the time it reviews the Corporation's annual budget, the Board reviews the Corporation's strategic plans.

   The Board also reviews periodic updates of the Corporation's progress on its strategic goals and makes major decisions in the context of the strategic plan.

3. Succession Planning

   Management succession planning is an ongoing activity. The Board ensures that succession planning programs are in place, including programs to appoint, train, develop and monitor management.

4. Board Communication With Stakeholders

   The Corporation has adopted and follows a Disclosure Policy for the Corporation. The Board, or an appropriate committee of the Board, reviews the content of the Corporation's major communications to shareholders and the investing public, including quarterly and annual reports, management's discussion and analysis, proxy circulars, the annual information form and any prospectuses.

   The Board believes management should speak for the Corporation in its communications with the investment community, the media, customers, suppliers, employees, governments and the general public. If communications from stakeholders are made to the Chairman or other individual directors, management is informed and consulted to determine any appropriate response.

5. Corporate Governance

   The Governance Committee is responsible for developing and recommending improvements to corporate governance guidelines, policies and mandates for implementation by the Board.

BOARD ORGANIZATION AND MEMBERSHIP

6. Chairman of the Board

   The Board has approved and periodically reviews a written position description for the Chairman that sets out the responsibilities and accountabilities of the Chairman, which include duties relating to setting Board meeting agendas, chairing Board and shareholder meetings and, together with the Chairman of the Governance Committee, conducting director and Board assessments.

7. Board Size and Selection of New Director Candidates

   The maximum number of directors permitted by the Corporation's Articles is 12, and the minimum number is five. Within that range, the Board is authorized to establish the number of directors.

   The Corporation's largest shareholder, Maple Leaf Foods, holds 90.0003% of the outstanding Common Shares; this effectively gives it control of the nomination process. The Chairman of the Board and the Governance Committee and its Chairman, however, have led the process of new director nominations for independent directors in consultation with Maple Leaf Foods. Each member of the Governance Committee is independent. Other directors are encouraged to identify potential candidates for nomination.

8. Independence of Directors

   Subject to the rights of the majority shareholder, at all times, a sufficient number of independent directors are to be nominated to represent the interest of other shareholders. The Board has defined an independent director to mean a director who is not a member of management and is free from any interest and any business, family or other relationship which could, or could reasonably be perceived to, materially interfere with the director's ability to act with a view to the best interests of the Corporation.

   A director shall not be considered to be independent if the director would not be considered independent under director independence tests for Audit Committee membership under applicable securities laws.

   The Board annually reviews the report of the Governance Committee on its review of the independence of each of the non-management directors.

   The following directors are considered to be "independent":

   W.E. Aziz S.A. Everett J.F. Petch

   The following directors are considered to be "not independent" as they are executive officers of either the Corporation or its 90.0003% shareholder, Maple Leaf Foods, which provides management services to the Corporation:

   G.W.F. McCain – Chairman of the Board of Maple Leaf Foods

   M.H. McCain – Chairman of the Board of the Corporation and CEO of Maple Leaf Foods

   J.S. McCain – President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods

   R.A. Lan – CEO of the Corporation and Chief Operating Officer, Foods Group, Maple Leaf Foods

   M.H. Vels – CFO of the Corporation and Maple Leaf Foods

9. Term Limits for Directors

   The Board values the increased insight into the Corporation and its strategy and operations that directors develop and the increased contribution that directors make over a long period of service. For this reason, the Board has not established fixed term limits as it would have the effect of forcing off the Board directors who have developed these insights. To ensure continued effectiveness of each director, the Board relies on its performance evaluation process.

10. Composition of the Board

    Annually, the Governance Committee reviews the competencies, skills and personal qualities of candidates to be considered for nomination to the Board. The objective of this review is to maintain the composition of the Board in a way that provides, in the judgment of the Board, the best mix of skills and experience to provide for the overall stewardship of the Corporation. The Governance Committee takes into account the desirability of maintaining a reasonable diversity of personal characteristics such as age, gender, geographic residence and origin. However, all directors must possess the highest personal and professional ethics, integrity and values and be committed to representing the long-term interests of the shareholders. They must also have an inquisitive and objective perspective, practical wisdom and mature judgment, outstanding ability in their individual fields of expertise and a willingness to devote necessary time to Board matters.

11. Director Orientation and Education

The Governance Committee is responsible for the orientation and education of new directors as well as the continuing education of existing outside directors. A standard template has not been developed as the skills, knowledge of the Corporation and the industry and background of each new director will in large measure determine the nature and intensity of the orientation and education. The Committee oversees the continuous education of directors in the Corporation's various operational units, functional areas and other areas of interest to the directors. This is accomplished with a program of regular presentations, briefings and plant visits.

The Corporation maintains a program called "Board Connect" under which outside directors spend one day each year working with management of an operating unit or functional area. The plan is designed to provide opportunities for directors to engage in specific areas of the business at a deeper level and to engage employees very directly, enabling directors to assess the depth and breadth of management resources.

BOARD COMMITTEES AND TERMS OF REFERENCE

12. Board Committees

The Board has established two Board committees: (i) the Audit Committee; and (ii) the Governance Committee. This structure may change as the Board considers from time to time which of its responsibilities can best be fulfilled through a detailed review of matters at the committee level. Each committee operates according to a Board-approved written charter outlining its duties and responsibilities. A written set of procedures and policies set out the role of each committee chairman.

The purpose of Board committees is to assist the Board in discharging its responsibilities. Notwithstanding the delegation of responsibilities to a Board committee, the Board is ultimately responsible for matters assigned to each committee for its determination. Except as may be explicitly provided in the charter of the committee or a resolution of the Board, the role of the Board committee is to review and make recommendations to the Board with respect to the approval of matters considered by the committee.

13. Membership of Committees

The Board has determined that each committee shall be composed entirely of independent directors. In addition, all members of the Audit Committee shall be financially literate within the meaning of applicable securities laws.

After receipt of recommendations from the Governance Committee, the Board appoints the members of the committees annually, and as necessary to fill vacancies, and generally appoints the chair of each committee. Members of the committees hold office at the pleasure of the Board.

The Committees' members and year first appointed are as follows:

Audit Committee		**Governance Committee**	
W.E. Aziz, as Chairman	2005	J.F. Petch, as Chairman	1995
J.F. Petch, and	2008	W.E. Aziz, and	2008
S.A. Everett	1995	S.A. Everett	1995

14. Committee Mandates

In summary, the responsibilities and functions of each committee are as follows:

Audit Committee

a) To assist the Board of the Corporation by reviewing the adequacy and effectiveness of financial and reporting processes, including:
   (i) the systems of internal and financial controls;
   (ii) the selection of accounting policies and principles;
   (iii) the preparation and audit of financial reports;
   (iv) the review of treasury risk-management functions;
   (v) the oversight of the stewardship of the Corporation's pension plan funds and reporting to the Board; and
   (vi) the monitoring of certain other financial matters.

b) To oversee and monitor the appointment, independence and performance of the internal and external auditors.

c) To establish and monitor procedures for handling of concerns and complaints related to financial matters.

d) To approve, on behalf of the Board, certain financial and other matters as delegated by the Board.

e) To review and make recommendations for approval of annual financial statements, management's discussion and analysis of the financial condition of the Corporation and the results of its operations for release to shareholders.

f) To review and approve the interim financial statements, management's discussion and analysis of the financial condition of the Corporation and the results of its operations for release to shareholders.

g) To conduct independent investigations into matters which may come under its scope of responsibilities.

Governance Committee

a) Human Resource Matters

   (i) To review and to recommend changes with respect to compensation of employees, with a view to ensuring that the necessary policies and processes are in place by which all employees will be fairly and competitively compensated.

   (ii) To evaluate the performance of the CEO annually, to receive the Chairman's recommendation for changes to the CEO's compensation and to make recommendations to the Board.

   (iii) To review the CEO's evaluation of the performance of the other executive officers of the Corporation and its major subsidiaries annually and the CEO's recommendations with respect to the amount of compensation to be paid to the other executive officers.

   (iv) To assist in ensuring that appropriate human resource development, succession planning and performance evaluation programs are in place and that they are operating effectively.

   (v) To assist the Board in its responsibilities regarding the benefits under the Corporation's pension plans and to make recommendations to the Board for amendments.

b) Corporate Governance Matters

   (i) To assist the Board, in conjunction with the Chairman, in matters pertaining to the Corporation's approach to governance issues and disclosures.

   (ii) To assist the Board, in conjunction with the Chairman, if any, in matters pertaining to the organization and staffing of the Board, the organization and conduct of Board meetings and the effectiveness of the Board in performing and fulfilling its responsibilities.

   (iii) To assist the Board in matters pertaining to the delegation of responsibilities to Board committees by reviewing periodically the terms of reference for Board committees and making recommendations to the Board for any amendments deemed necessary or advisable.

   (iv) To assess the independence of individuals nominated for director.

   (v) To assess the effectiveness of the Board, the committees and the individual members thereof.

c) Environmental Matters

   (i) To review, on behalf of the Board, the Corporation's efforts to meet its objective of being a good corporate citizen with respect to the well-being of the environment, including avoiding nuisance or damage to the environment.

   (ii) To assist in ensuring (a) that the Corporation has appropriate environmental policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

d) Product Safety Matters

   (i) To review, on behalf of the Board, the Corporation's efforts to ensure the safety of its products, including ensuring (a) that the Corporation has appropriate policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

e) Health and Safety Matters

(i) To review, on behalf of the Board, the Corporation's efforts to meet its objective of protecting employee health and safety, including the health and safety of other persons.

(ii) To assist in ensuring (a) that the Corporation has appropriate health and safety policies having regard to legislative and regulatory requirements and industry standards in those areas and (b) that the Corporation has and maintains management systems to implement such policies.

BOARD MEETINGS AND MATERIALS

15. Functioning of the Board

The Governance Committee, together with the Chairman of the Board, is responsible for assessing and recommending changes to ensure that the Board carries out its objectives effectively and operates independently of management.

16. Meeting Agendas, Materials and Attendance of Non-Directors

Procedures are in place to govern the conduct of meetings, including, among other things, agendas, distribution of briefing materials and attendance of non-directors at meetings. These procedures are followed to promote informed and effective consideration of the matters on the agenda. Other senior managers attend each Board meeting to provide information and opinions to assist the directors in their deliberations.

17. *In Camera* Meetings

At each Board and Committee meeting held in person, the independent directors meet *in camera* without management or the non-independent directors present. The Chairman of the Governance Committee acts as Chairman of the *in camer*a session of the Board meetings. During the last completed fiscal year, there were five (5) *in camera* meetings of the Board.

DIRECTOR COMPENSATION AND SHARE OWNERSHIP

18. Director Compensation

The Board has determined that the directors should be compensated in a form and amount which is appropriate and which is customary for comparable companies, having regard for such matters as time commitment, responsibility and trends in director compensation.

The Governance Committee reviews the compensation of the directors annually. The Governance Committee review includes consideration of all forms of compensation that a director receives, directly or indirectly. The Committee considers the compensation paid to directors of its parent company, Maple Leaf Foods, in setting its own compensation.

While the Board has not established formal share ownership guidelines for directors, directors are encouraged to hold shares and to use all or a portion of their annual fees to purchase shares of the Corporation.

BOARD'S RELATIONSHIP WITH MANAGEMENT

19. Board Relationship With Management

Management is instructed to make appropriate use of the Board's skills before decisions are made on key issues. The Governance Committee reviews and assesses the Board's relationship with management.

20. Limits to Management Authority

As required by the Corporation's by-laws, the Board has established general authority guidelines that place limits on management's approval authority depending on the nature and size of the proposed transaction. These limits provide for some flexibility within approved budgets but require that transactions outside defined limits be approved by the Board or an appropriate committee.

21. Evaluation of the CEO

The Governance Committee conducts an annual review of the performance of the CEO against a written position description and the goals and objectives that have been established by the Committee and reviews, assesses and recommends the compensation of the CEO to the Board for approval. The results of the review are communicated to the CEO by the Chair of the Governance Committee.

22. Director Access to Management

All directors are to have open access to the Corporation's senior management for relevant information. Individual directors are encouraged to make themselves available for consultations with management outside Board meetings in order to provide specific advice and counsel on subjects where such directors have special knowledge and experience.

The Corporation also uses a program called "Board Connect" under which directors spend one day working with management of an operating unit or functional area. The plan is designed to provide opportunities for directors to engage in specific areas of the business at a deeper level and to engage employees very directly, enabling an assessment of the depth and breadth of management resources. The program remains in effect.

DIRECTOR RESPONSIBILITIES AND PERFORMANCE

23. Director Responsibilities

Directors are expected to use their skill and experience to provide oversight to the business of the Corporation. Directors have a duty to act honestly and in good faith with a view to the best interests of the Corporation and to exercise the care, diligence and skill that a reasonably prudent person would exercise in comparable circumstances. Directors are expected to attend all Board and committee meetings in person (or by telephone). In circumstances where a director is unable to do so, he or she has the opportunity to communicate his or her views that are then shared with the full Board. The Governance Committee monitors attendance and considers reasons for absences from Board and committee meetings. A summary of the attendance record of each director at Board and committee meetings in 2010 is detailed on page 28.

24. Outside Advisors for Individual Directors

The Board has determined that any director who wishes to engage a non-management advisor to assist on matters involving his or her responsibilities as a director at the expense of the Corporation should review the request with, and obtain the authorization of, the Governance Committee. This pre-approval requirement does not limit the authority of the Audit Committee to engage consultants or advisors on matters of financial reporting.

25. Assessment of Board and Individual Director Performance

The Governance Committee periodically assesses the effectiveness of the Board through discussions and surveys. Informally, the performance and contribution of individual directors is assessed by the Governance Committee. The Committee has adopted a formalized program of periodic directors' assessment with a view to improving effectiveness, consisting of a self-assessment by individual directors followed by an interview with the Chairman of the Board and Chairman of the Governance Committee. The overall results and conclusions are shared with the full Board.

ETHICS AND CONFLICTS OF INTEREST

26. Ethical Behaviour

The Board takes all steps to assure itself of the ethics and integrity of the CEO and the executive officers and to ensure that the appropriate "tone at the top" for ethical conduct is established.

27. Code of Business Practice

The Board expects directors, officers and employees to act ethically at all times and to acknowledge their adherence to the policies comprising the Code of Business Conduct (the "Code"), which the Corporation, together with its parent company, Maple Leaf Foods, adopted in 1999. Each year, every employee is required to reaffirm in writing his or her adherence to the Code concurrent with his or her performance review. New employees are given a copy of the Code upon joining the Corporation. Copies are available from the Corporation at 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7 and are also available on SEDAR at www.sedar.com.

An "Ethics Committee" comprised of management personnel for the Corporation and Maple Leaf Foods reviews and addresses issues of interpretation of the Code raised by employees and proposes changes to the Code. The Ethics Committee reports on its activities to the Governance Committee.

28. Whistle-Blower Procedures

The Corporation has set up a whistle-blower hotline named the EthicsLine. The EthicsLine provides employees with an avenue to raise concerns such as fraud, accounting irregularities, kickbacks, product tampering or other issues. The process was designed to reassure complainants that they will be protected from reprisals or victimization when reporting concerns in good faith. All calls are recorded and logged at an independent call centre, and the incidents reported are tracked and resolved using the case management system. The Audit Committee reviews reports on the calls and their resolution on a quarterly basis.

29. Conflicts of Interest

In addition to the statutory responsibilities of directors to disclose all actual or potential conflicts of interest and generally to refrain from voting on matters in which he or she has a conflict of interest, a director is required to declare his or her interest in the matter to be discussed and shall recuse himself or herself from any discussion or decision on any matter in which the director is precluded from voting as a result of a conflict of interest or which otherwise affects his or her personal, business or professional interests.

RECORD OF DIRECTOR ATTENDANCE AT BOARD AND COMMITTEE MEETINGS

The attendance record of each director at Board and committee meetings in 2010 was as follows:

Name	Audit Committee	Board	Governance Committee	Total	Attendance Percentage
Number of meetings held	5	7	6	18	
W.E. Aziz	5/5	7/7	5/6	17/18	94%
S.A. Everett	5/5	7/7	6/6	18/18	100%
J.F. Petch	5/5	7/7	6/6	18/18	100%
R.A. Lan	–	5/7	–	5/7	71%
G.W.F. McCain	–	5/7	–	5/7	71%
J.S McCain	–	5/7	–	5/7	71%
M.H. McCain	–	7/7	–	7/7	100%
M.H. Vels	–	7/7	–	7/7	100%
Attendance	15/15	50/56	17/18	82/89	92%
Attendance percentage	100.0%	89.3%	94.4%	92.1%	

OTHER MATTERS

SECURITIES AUTHORIZED FOR ISSUANCE UNDER EQUITY COMPENSATION PLANS

The following table provides information as at December 31, 2010 with respect to Common Shares authorized for issuance under the Canada Bread incentive stock option plan:

Equity Compensation Plan Information as at December 31, 2010

Plan Category	Number of Securities to Be Issued Upon Exercise of Outstanding Options, Warrants and Rights (a)	Weighted-Average Exercise Price of Outstanding Options, Warrants and Rights (b)	Number of Securities Remaining Available for Future Issuance Under Equity Compensation Plans (Excluding Securities Reflected in Column (a)) (c)
Equity compensation plans approved by securityholders	–	–	303,000
Equity compensation plans not approved by securityholders	–	–	–
Total	–	–	303,000

On January 30, 1985, the directors established an incentive stock option plan for the Corporation (the "Plan"), which was approved by shareholders. The Plan, as amended on February 8, 1995, permits the directors to grant options to full-time employees of the Corporation or its affiliates to purchase the Corporation's unissued Common Shares. The Plan provides that the option price is based on the average of the ten (10) days' closing price of the Common Shares on the TSX preceding the date of grant. Options under the Plan expire ten years from the date of grant, 270 days following the death of any employee, 90 days following the termination of employment of the optionee or 270 days following the retirement of the optionee under a retirement plan of the Corporation or any affiliated company or such longer period as the directors, in their discretion, determine. The options, at the discretion of the Board, may be subject to staged vesting over a period of up to five years.

Options to be issued under the Plan will be exercisable only upon full payment, in cash, of the option price. Any options issued under the Plan are embodied in written instruments containing provisions, among others, relating to anti-dilution. There have been no option grants under this plan since 1995, and there is no present intention to make additional grants.

DIRECTORS' AND OFFICERS' LIABILITY INSURANCE

Directors' and officers' liability insurance has been arranged through the Corporation's controlling shareholder, Maple Leaf Foods. The Corporation's share of the annual premium cost for the year ended December 31, 2010, was $19,087. This amount was not allocated as between officers and directors. The insurance limit under the policy is $50,000,000 for each loss and each policy year, with the Corporation subject to a $100,000 deductible provision. The directors and officers are not liable for any payment under a deductibility clause or payment of any premium.

INTERESTS OF INSIDERS AND INFORMED PERSONS IN MATERIAL TRANSACTIONS

Reference should be made to the heading "Voting Securities and Principal Holders Thereof" for details of Maple Leaf Foods' shareholdings in the Corporation. Messrs. R.A. Lan, G.W.F. McCain, J.S. McCain, M.H. McCain and M.H. Vels are directors of the Corporation and are also officers and/or directors of Maple Leaf Foods.

In August 1995, the Corporation entered into a Management and Affiliation Agreement and in October 1995, a Management Services Agreement effective January 1, 1996, with Maple Leaf Foods, whereby the Corporation benefits from certain services provided by Maple Leaf Foods. These agreements were reviewed and approved by a committee composed of independent members of the Board. Annually, the Audit Committee reviews the charges and budgets for the following year and makes recommendations to the independent members of the Board.

Under the Management Services Agreement, Maple Leaf Foods provides the Corporation with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial services, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf Foods management time for operating involvement, merger and acquisition transactions, information system services, engineering services and access to bulk purchasing programs. Fees paid to Maple Leaf Foods in 2010 for these services were $50.5 million (2009: $38.7 million; 2008: $30.3 million).

GENERAL

Except where specifically stated, information contained herein is given as of March 24, 2011.

OTHER BUSINESS

Management of the Corporation is not aware of any matters to come before the meeting other than those referred to in the Notice of Meeting.

RECEIPT OF SHAREHOLDER PROPOSALS FOR NEXT ANNUAL MEETING

Any shareholder who intends to present a proposal at our 2012 Annual Meeting of Shareholders must send the proposal to the Corporation, Attention: Corporate Secretary at 10 Four Seasons Place, Toronto, Ontario M9B 6H7. In order for the proposal to be included in the proxy materials we send to shareholders for that meeting, the proposal must be received by the Corporation no later than March 6, 2012, and must comply with the requirements of Section 99 of the *Business Corporations Act* (Ontario).

ADDITIONAL INFORMATION

Additional documents, including copies of the most recent Annual Information Form (including any documents incorporated by reference therein) of the Corporation, the Annual Report, including the audited financial statements and management's discussion and analysis of the Corporation for its most recently completed financial year, interim financial statements of the Corporation and other documents the Corporation files with the securities regulatory authorities in Canada, are available upon request from the Corporate Secretary, 10 Four Seasons Place, Toronto, Ontario M9B 6H7. Financial information is provided in the Corporation's comparative financial statements and management's discussion and analysis for its most recently completed financial year.

The above information and additional information relating to the Corporation is also available on SEDAR at www.sedar.com.

APPROVAL

The contents and the sending of this Management Information Circular have been approved by the directors of the Corporation.

DATED at Toronto, Canada, this 24th day of March, 2011.



R. CAPPUCCITTI
Corporate Secretary